



YOUR GUIDE TO COMPETITION LAW

In Seychelles



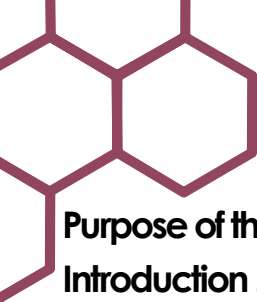
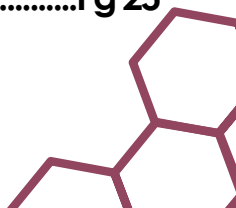


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Purpose of the booklet

This booklet has been developed with the purpose of highlighting the vital role of competition law and its benefits to the economy, including fostering efficiency, innovation, and consumer welfare.

It serves as a practical guide to Part V and Part VI of the Fair Trading Act, 2022, providing clarity on the role of competition, what the Act entails and how the Act is administered by the Fair Trading Commission.

While the Commission continues to face challenges such as building awareness among consumers, businesses, and other stakeholders, as well as ensuring alignment with enforcement and regulatory authorities, this booklet seeks to promote understanding, encourage compliance, and strengthen support for fair competition in Seychelles.

Disclaimer

This booklet is not a substitute for the Act itself, it does not provide legal advice and should not be relied upon as a statement of law relating to the Fair Trading Act, 2022. The Commission reserves the right to revise the booklet as and when it finds it appropriate to do so.



INTRODUCTION

Effective competition provides significant benefits for consumers through greater choice, lower prices and better quality of goods and services. Competition also provides strong incentives for enterprises to be more efficient and innovative, thereby helping raise productivity growth across the economy and enhancing the country's competitiveness as a whole.

Following the launch of the economic reform in 2008, Seychelles enacted its first competition law intending to promote, maintain, and encourage competition. The act prohibits the prevention, restriction, and distortion of competition by prohibiting various anti-competitive practices in the market. The Fair Trading Act, 2022, was enacted to consolidate and revise the previous Acts relating to fair trading, competition, and consumer protection.

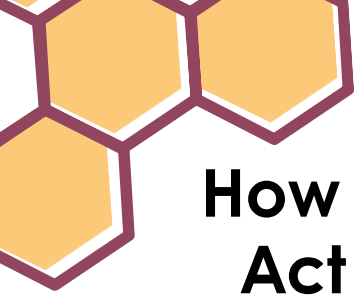
What is competition?

Competition is a fundamental pillar of a well-functioning economy. It compels enterprises to innovate, enhance efficiency, and deliver greater value to consumers through improved quality, competitive prices, and more choices. Within the business environment, competition arises when enterprises strive to attract and retain customers in order to achieve growth, profitability, and market share.

Moreover, competition is not confined to existing players in the market. The potential entry of new enterprises also serves as a powerful driver of competitive behaviour, encouraging businesses to operate more effectively and ensuring that markets remain dynamic and responsive to consumer needs.

The Fair Trading Act, 2022

The FTA 2022 was enacted in August of 2022. It is a consolidation of the three previous Acts administered by the FTC: The Fair Trading Commission Act 2009, The Fair Competition Act, 2009 and the Consumer Protection Act, 2010. This consolidation into FTA 2022 has brought about new enforcement powers and responsibilities for the FTC to administer.



How is the Fair Trading Act 2022, enforced?

The FTA 2022 does not only make provision to detect and investigate restrictive practices and mergers but also allows the Commission to enforce remedies and penalties.

The Commission is the investigative body and the Fair Trading Tribunal provides rulings for final decisions.

The Commission undertakes investigations, issues recommendations, and ensures compliance. A range of remedies can be applied by the Commission when resolving a case.

The Tribunal is vested with the authority to make the final decisions.

The provisions of the Act addresses a wide range of conducts, including anti-competitive practices, merger control, and market inquiries, all with the objective of safeguarding fair competition and consumer protection.



Fair Competition

Part V of the FTA 2022, deals with the conduct of enterprises in the market and includes prohibition of anticompetitive agreements, abuse of a dominant market position, and merger control regulation to prevent monopoly (i.e. an enterprise that is the only seller of a good or service) that could lead to abuse of dominance in the market.

Part V is presented in this booklet in six main categories:

- a Abuse of Dominance
- b Restrictive Horizontal Business Practices
- c Restrictive Vertical Business Practices
- d Mergers
- e Grant of Authorisation
- f Corporate Immunity Policy
- g Market Inquiry



Chapter **VI** of the Fair Trading Act, 2022 sets out the reasoning and procedures for conducting market inquiries. Through these inquiries, the Commission investigates market conditions and practices to identify whether any prohibited conduct is taking place.



ANTI-COMPETITIVE PRACTICES:



Relevant Market and Market Power

The relevant market is the business space in which businesses compete with each other. It is used to identify who the competitors are and what products or services are in competition.

In simple terms, it answers two questions:

- Which products or services are competing with each other?
- Where does this competition take place?

For the purpose of the law, the relevant market includes all suppliers that customers see as offering close alternatives.

- **Relevant Product Market:** This looks at the type of product or service. It includes all items that consumers see as being able to replace one another because they have similar features, prices, or uses.
- **Relevant Geographic Market:** This looks at the location where competition happens. It includes the area in which businesses sell their products or services under similar conditions. It can be distinguished from other areas where the conditions are noticeably different.

01 Abuse of Dominance

A business may become dominant by competing fairly through efficiency, innovation, or offering better products. Dominance means having substantial market power that the business can act without much pressure from competitors, suppliers, or customers. However, this power must not be misused. Abuse of dominance occurs when a business takes advantage of its position and engages in unfair trade practices. *Conducts that constitute an abuse:*

- ✓ Imposing unfair purchase or selling prices or other unfair trading conditions
- ✓ Limiting or restricting production or market access
- ✓ Offering different prices or conditions to similar transactions
- ✓ Concluding that other parties should accept additional conditions after purchasing a product or service
- ✓ Exclusive dealing, where a supplier requires a buyer to only purchase from them and not from competing suppliers.
- ✓ Refusing to give a competitor access to an essential facility
- ✓ Requiring or inducing a customer to buy a second product to get the desired product constitutes as tied selling.

02 Restrictive Vertical Practices

A Vertical relationships means a relationship between enterprises each of which operates at a different level of the supply chain.

An agreement, decision or concerted practice between enterprises in a vertical relationship is prohibited if it:

It has the object or effect of substantially preventing or lessening competition in the market unless they can prove that the efficiency gains from the agreement outweigh the negative impact on competition.

Examples of Restrictive Vertical Practices:

Resale price maintenance: a supplier/distributor forces or agrees with its resellers on the price at which the latter will resell the products to his customers, unless the supplier or producer makes it clear that the recommended price is flexible or the words “recommended price” appear next to the stated price

Single branding: arrangements, which require a buyer to purchase all of its requirements or a large extent thereof only from one dominant supplier.

Exclusive distribution: the supplier agrees to sell a particular product to only one distributor in a particular area/ district or to a particular group of customers.

Selective distribution: the supplier appoints authorised distributors based on predefined selection criteria.

Exclusive supply: the supplier is obliged or induced to sell the contract products only to one buyer in general or for a particular use

03 Restrictive Horizontal Practices

Horizontal relationship means a relationship between enterprises each of which operates at the same level of the market in the provision of goods and services

An agreement, decision or concerted practice between enterprises in a horizontal relationship in the same market is prohibited if :

It has the object or effect of preventing, restricting or distorting competition in a market, unless a party to the agreement is able to prove that as a result of their action, has a positive impact on the public.

Examples of Restrictive Horizontal Practices:

Price Fixing: competitors agreeing to sell a product or service at the same price which is often referred to as a cartel.

Dividing Markets: competitors agreeing to divide or allocate customers, suppliers, or territories among themselves.

Collusive Tendering or Bid Rigging: bidders agree among themselves to eliminate competition in the procurement process.

Limiting or Controlling Supply: entering into agreements to restrict the supply or acquisition of goods and services such as by fixing the production level or imposing production quota.

CARTELS

Cartels can be defined as an illegal agreement between businesses not to compete with each other. The agreement is usually reached in secret, verbally or in writing and is often informal. A cartel is primarily directed at price fixing, market sharing, output restrictions and collusive tendering.

How can we spot a cartel?

There are a number of signs that may indicate that a cartel is operating.

Some examples are:

- ✓ Increase in prices by the same amount at the same time
- ✓ Offering the same discount or have identical discount structures
- ✓ Refuse to supply a customer because of their location
- ✓ Use give-away terms or phrases such as “the industry has decided that margins should be increased” or “we have agreed not to supply in that area”

The sole aim of cartels is to extract more profit at the expense of consumers. It severely harms consumers by raising prices and restricting supplies to consumers.

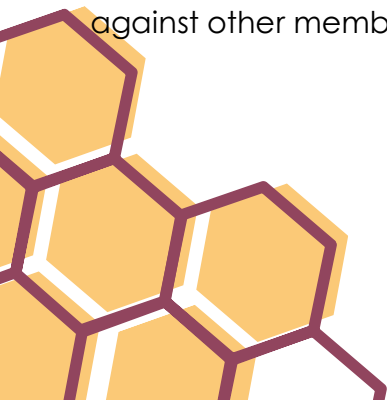
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CORPORATE IMMUNITY POLICY

The Corporate Immunity Policy is an investigation tool devised to encourage cartel participants to disclose information to the Commission. Its objective is to deter or prevent the formation of cartels, and to eliminate this harmful conduct.

Granting immunity under the Corporate Immunity Policy does not imply the applicant is less guilty than other cartel members; it is granted because the applicant is the first to provide evidence that the Commission believes may lead to an investigation or identify an infringement related to the alleged cartel.

Information obtained through the Corporate Immunity Policy is often indispensable, as it may not have been accessible by other means. This evidence is key to proving cartel conduct, strengthening the Commission's case before the Tribunal, and requires the applicant's full cooperation against other members.

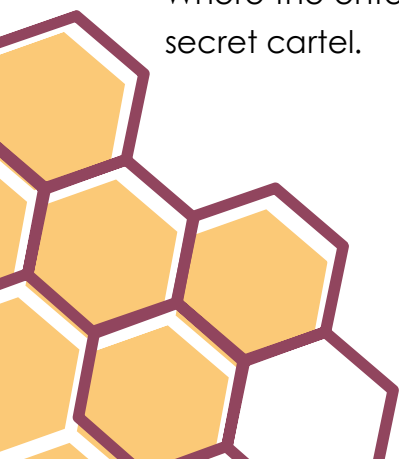


It is important to note, however, that the Corporate Immunity Policy applies only to Section 126(1)(a) of the Fair Trading Act 2022, which prohibits agreements, decisions, or concerted practices between enterprises in a horizontal relationship, or associations of enterprises operating within the same market.

There are various instances in which the Corporate Immunity Policy is non-applicable;

For example:

- where the cartel conduct in respect of which immunity is sought falls outside of the Fair Trading Act 2022 .
- Where the applicant fails to meet any other requirement and condition set out in the Corporate Immunity Policy.
- Where the enterprise was the initiator/ringleader of the secret cartel.



The Scope of the Corporate Immunity

Total Immunity:

An enterprise involved in cartel conduct can apply for full immunity from fines if it is the first to provide information to the Commission. This information must either help launch a new investigation or significantly advance an ongoing one.

Conditional immunity:

The applicant and the Commission must document the provisional granting of immunity. The Commission will grant total immunity after its investigation if the applicant meets the Corporate Immunity Policy requirements throughout the process. However, the Commission can revoke conditional immunity at any time if the applicant does not cooperate or fails to meet any conditions.

No immunity:

This applies in those cases where the applicant fails to meet the conditions and requirements under the Corporate Immunity Policy. If immunity is denied, the Commission may act according to the Act or consider a settlement agreement initiated by the enterprise.



ENFORCEMENT

FINANCIAL PENALTIES

The Commission also reserves the right to impose financial penalties as means of remediation for the breach occurred. Financial penalties do not exceed SCR 500,000 or 10 percent of the turnover of the enterprise in Seychelles during the period of the alleged prohibited conduct.

INTERIM MEASURES

It may happen that while investigations are ongoing, the findings indicate the seriousness of the contravention as alarming. In this event request for an immediate direction to cease the anti-competitive practice could be used to prevent further irreparable damage to a firm, person or market.

UNDERTAKINGS

Firms may wish to come to an agreement as to the way in which they should remedy the situation at hand. Nonetheless, the Commission may or may not give its consent depending on the satisfactory level of the undertaking and whether it addresses all the concerned matters.

05

MERGERS

A merger is a business deal where two existing, independent companies combine to form a new, singular legal entity by:

- ✓ sale or purchase of shares or assets;
- ✓ sale or purchase of shares or assets in exchange for shares in the merged enterprise;
- ✓ lease of assets;
- ✓ amalgamation or combination or otherwise,

An enterprise desirous of effecting a merger, shall make an application to the Commission for approval. A merger or proposed merger shall be notifiable when the combined annual turnover or assets of the parties (whichever is higher) equals or exceeds SCR 10 million.

Should the Commission approve the proposed merger the parties concerned will be subjected to a fee;

a) If the combined turnover or asset value of the parties equals or exceeds SCR 10 million but is less than SCR 25 million, the applicable fee will be 0.1 %.

b) If the combined turnover or asset value of the entities is SCR 25 million and above, then the applicable fee is 0.5%.

The Commission has the power to approve a merger **without** conditions, approve **with** conditions or not to approve.

A merger shall **not** be effected, **unless** it is approved by the Tribunal on the recommendation of the Commission.

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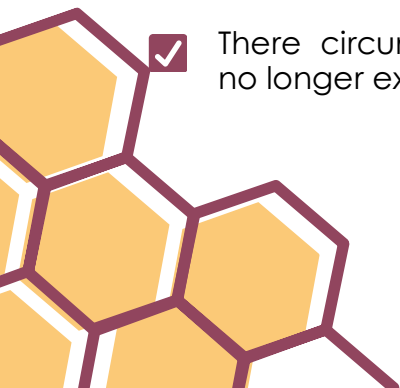
GRANT OF AUTHORIZATION

An enterprise that proposes to enter into or carry out an agreement or to engage in a business practice which, in its opinion, is an agreement, or practice affected or prohibited by Section 126-127 of the FTA 2022, may apply to the Commission for an authorisation to do so if the agreement will have undeniable pro-competitive gains for the economy or the country as a whole.

An application can be made in the prescribed form manner and the Tribunal may grant authorisation subject to terms and conditions considered fit.

Authorisation may be revoked if:

- ✓ It was granted on false or misleading information
- ✓ There has been a breach of any terms and conditions
- ✓ There circumstance justifying the authorisation no longer exists



07 MARKET INQUIRIES

The Commission can also conduct market inquiries to address competition and consumer protection problems. In contrast to an official investigation an inquiry can be initiated when:

-  The Commission on reasonable grounds suspects that a prevention, restriction or distortion of competition is occurring
-  The Commission on reasonable grounds suspects that a market failure affecting consumers is occurring
-  A complaint has been lodged with the Commission by any person
-  The Minister requests the market inquiry in writing
-  The outcome of any research, investigation or a merger evaluation points to any possible anti-competitive practice in a particular market or markets
-  A market inquiry undertaken in another jurisdiction leads to the need for a similar inquiry in Seychelles

At the end of a market inquiry, the Commission shall publish the final report of the market inquiry

After publishing the final report of the market inquiry, the Commission may:

- ▶ Accept a written undertaking in connection with a matter under this Act, given by a person to ensure compliance with this Act or any other written law
- ▶ Initiate a formal investigation against any contravention reported in the market inquiry;
- ▶ Make recommendations to a regulatory authority in relation to any consumer or competition matter;
- ▶ Make such recommendations to the Government relating to any policy or legislation as it may consider necessary
- ▶ Take appropriate remedial measures as may be considered necessary.



ADVOCACY

The Commission faces a strenuous task in building awareness and support for competition in Seychelles. However, the instruments at the disposal of the Commission to influence the regulatory framework are manifold. The Commission uses various commonly used methods in to build public awareness on competition. This includes but not limited to:



Making information available in public domains



Regularly publishing its enforcement decisions



Press conference



Dissemination of its guidelines on specific competition law matters



Organizing seminars, workshops and conference with stakeholders



Participate in the design and review of legislation and regulations



Issuing opinions either upon request or FTC's own initiative

BENEFITS

For Consumers

- ✓ Prices are lower and goods become more affordable.
- ✓ Markets offering a diverse range of goods at different prices which means consumers have more choices.
- ✓ Businesses innovate to differentiate themselves, offering new products and technologies that benefit consumers
- ✓ Fosters economic growth by encouraging efficiency and productivity, indirectly benefitting consumers through job creation and better living conditions.
- ✓ Responsive to consumer demands, meeting evolving needs

BENEFITS

For Business

- ✓ Healthy competition creates conditions necessary to attract inwards investments from international companies.
- ✓ Vigorous competition increases efficiency, reduces costs, increases productivity and promotes a healthier business environment.
- ✓ Stimulates innovation and encourages the use of new technologies.



Conclusion

Competition plays a vital role in supporting a healthy economy. It benefits consumers through better prices, higher quality, and greater choices. Competition fosters innovation and growth among businesses.

The Commission remains dedicated to uphold the principles of fair competition and to safeguard the strength and integrity of the market.

In collaboration with stakeholders, businesses, and consumers, we can foster a competitive environment that benefits all.

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